

misunderstanding through the prominent inclusion of an 'other matter' paragraph addressing this issue.

It is recommended that the following paragraph go immediately after the basis for opinion paragraph:

#### **Other matter – application of true and fair view**

The financial statements have been prepared under the micro-entities regime which does not require the directors or the auditor to consider the inclusion of any disclosures necessary to give a true and fair view where these go beyond the minimum disclosures required by the Companies Act 2006 as applied to micro-entities.

#### **Conclusions relating to going concern**

No specific changes are needed as FRS 105 contains the same requirements in respect of going concern as under FRS 102 and IFRS.

However, where there is a material uncertainty in relation to going concern, while the minimum disclosures required by the Companies Act 2006 as applied to micro-entities do not appear to require specific disclosure of the material uncertainty, this disclosure would still be required by ISA (UK) 570. Therefore, for an unmodified audit report, the financial statements need to disclose adequately the principal events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and management's plans to deal with these events or conditions.

#### **Other information**

There is no requirement for a micro-entity to prepare a directors' report or a strategic report.

Where there is no other information published with the financial statements of the company, then there is no need for an 'other information' section of the audit report.

If however, other information is published with the financial statements, then the 'other information' section set out in Appendix 1 of the FRC Bulletin needs to be included. The reference to 'except to the extent otherwise explicitly stated in our report' is only required when a voluntary directors' report (or strategic report) has been prepared.

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information.

Our opinion on the financial statements does not cover the other information and **[include this wording only when a voluntary directors' report or strategic report has been prepared: , except to the extent otherwise explicitly stated in our report,]** we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

#### **Opinions on other matters prescribed by the Companies Act 2006**

As discussed above, there is no requirement for micro-entities to prepare either a directors' report or a strategic report.

This means that if no directors' report or strategic report is prepared, the section on 'opinions on other matters prescribed by the Companies Act 2006' is not required.